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Secure Distribution Venture Pvt. Ltd.

What Is NPA Resolution Funding ?

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Table of Contents

Module	Chapter Name	Page No
Module 1	Product Overview & Core Fundamentals of NPA Resolution Funding	3
Module 2	How the Product Structure Works & NPA Resolution Mechanics	5
Module 3	Regulatory, Statutory & Legal Framework in India	7
Module 4	Common Eligibility Criteria & Institutional Underwriting Parameters	8
Module 5	Security Architecture, Collateral Ring-Fencing & Legal Documentation	10
Module 6	Indicative Tenure, Moratorium & All-In Pricing Structure	12
Module 7	Suitable Industries, Business Profiles, Key Advantages & Limitations	13
Module 8	Suitable Industries, Business Profiles, Key Advantages & Limitations	13
Module 9	Comprehensive Real-World Case Study (INR 450 Crore NPA Resolution Facility)	15
Module 10	Legal Enforcement, Default Protocols & IBC 2016 Integration	17
Module 11	Rookie Mastery Examination (15 High-Yield Test Q&As)	18

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Chapter 1: Product Overview & Core Fundamentals of NPA Resolution Funding

NPA Resolution Funding—also designated in institutional Indian wholesale credit markets as Stressed Asset Turnaround Financing, OTS Refinancing, or Special Situation Restructuring Capital—represents a highly specialized category of structured wholesale debt engineered to resolve Non-Performing Assets (NPAs) on the balance sheets of Indian commercial banks and Non-Banking Financial Companies (NBFCs). When a corporate enterprise defaults on its debt servicing obligations for more than 90 consecutive days, Indian banking regulations mandate its classification as a Non-Performing Asset. Once classified as an NPA, the borrower is effectively blacklisted from accessing standard commercial bank credit, working capital enhancements, or fresh term debt. NPA Resolution Funding provides the essential capital bridge required to extinguish defaulted bank loans, execute One-Time Settlements (OTS), buy out debt through Asset Reconstruction Companies (ARCs), fund operational turnarounds, or supply super-priority Interim Finance under the Insolvency and Bankruptcy Code (IBC), 2016.

The fundamental premise of NPA Resolution Funding is a dramatic departure from traditional banking underwriting. Commercial banks underwrite loans retrospectively—evaluating historical three-year audited financial statements, existing credit bureau scores (CIBIL/CMR ranks), and unencumbered real estate collateral. In contrast, NPA Resolution Funders (consisting primarily of SEBI-registered Category II Private Credit Alternative Investment Funds, specialized NBFCs, and ARCs) underwrite credit prospectively. They evaluate the intrinsic replacement value of underlying industrial assets, the sustainable post-restructuring EBITDA generation capacity of the business, the legality of debt discharge mechanisms, and the enforceability of priority cash flow waterfalls. By injecting fresh, structured debt at a deep discount to asset value, NPA Resolution Funding restores operational solvency, preserves enterprise value, saves employment, and generates attractive risk-adjusted returns (typically 15.0% to 22.0% All-In YTM) for institutional private credit investors.

The Regulatory & Market Context of Stressed Credit in India

The evolution of the Indian distressed debt landscape has been shaped by three statutory and regulatory milestones: the enactment of the Insolvency and Bankruptcy Code (IBC) in 2016, the Reserve Bank of India (RBI) Prudential Framework for Stressed Assets issued on June 7, 2019, and the establishment of the National Asset Reconstruction Company Limited (NARCL) 'Bad Bank' architecture. Under the RBI June 7 Framework, commercial banks are mandated to review stressed accounts immediately upon default (Day 0) and implement a viable Resolution Plan (RP) within 180 days, failing which they must initiate formal insolvency proceedings before the National Company Law Tribunal (NCLT). To avoid

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prolonged NCLT litigation and steep provision hits, bank consortiums frequently negotiate out-of-court One-Time Settlements (OTS) or sell defaulted debt packages to ARCs under 15:85 cash-to-Security Receipt (SR) structures. NPA Resolution Funding serves as the ultimate catalyst enabling corporate debtors and turnaround sponsors to fund these OTS settlements and debt purchases.

Table 1.1: Structural Comparison — NPA Resolution Funding vs. Traditional Bank Debt vs. Distressed Private Equity

Structural Dimension	NPA Resolution Funding	Traditional Commercial Bank Debt	Distressed Private Equity
Primary Credit Focus	Asset Replacement Value, Turnaround EBITDA & Cash Waterfall Enforceability	Historical 3-Year Audited Financials & CIBIL/CMR Score	Long-term Equity Valuation Multiple & Majority Control
Target Borrower Status	NPAs, SMA-2 Accounts, OTS Candidates, CIRP Corporate Debtors	Standard Accounts Only (Zero default history in 12 months)	Distressed Companies seeking Equity Infusion or Buyouts
Promoter Dilution	Zero to Minimal (100% Non-Dilutive Structured Debt)	Zero Equity Dilution	High Equity Dilution (Promoter surrenders 51%-100% control)
Execution Velocity	15 to 45 Days (Rapid Special Situation Execution)	60 to 120 Days (Sluggish Credit Committee Approvals)	90 to 180 Days (Complex Due Diligence & Valuation Negotiations)

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Chapter 2: How the Product Structure Works & NPA Resolution Mechanics

The operational architecture of NPA Resolution Funding is customized based on the specific legal and restructuring pathway selected to resolve the default. In the Indian corporate credit market, NPA resolution facilities operate across four primary structural mechanics:

1. One-Time Settlement (OTS) Refinancing Debt:
In an OTS structure, the defaulted corporate borrower negotiates a legally binding compromise settlement with its bank consortium (e.g., agreeing to pay INR 200 Crores against total outstanding book claims of INR 450 Crores, representing a 55.5% haircut). The Private Credit lender extends an NPA Resolution Facility directly to the company or its parent Holding Company (HoldCo). The loan proceeds are deposited into a designated bank escrow account and disbursed directly to the bank consortium upon receipt of formal No Dues Certificates (NDCs), satisfaction of existing mortgage charges, and release of pledged promoter shares. Upon bank payout, the Private Credit lender acquires exclusive first-ranking mortgage charges over all unencumbered industrial land, building, and machinery assets, stepping into a pristine 1st charge position at a conservative Loan-to-Value (LTV) ratio of 30% to 45%.

2. Asset Reconstruction Company (ARC) Debt Buyout Financing:
When bank consortiums sell defaulted debt to a SEBI/RBI-registered ARC via Assignment Agreements under the SARFAESI Act, 2002, the transaction is structured using a 15:85 ratio (where the ARC pays 15% in upfront cash and issues 85% in Security Receipts [SRs] backed by future cash recoveries). NPA Resolution Funders provide the 15% cash component or fund a complete cash buyout of the SRs held by the banks. The ARC then restructures the debt terms—extending tenures, resetting interest rates, and granting moratoriums—while the private credit lender receives high-yielding Non-Convertible Debentures (NCDs) secured by a first charge on the corporate debtor's asset pool.

3. CIRP Interim Finance under IBC, 2016:
When a company enters formal Corporate Insolvency Resolution Process (CIRP) under Section 7, 9, or 10 of the IBC, the appointed Resolution Professional (RP) requires immediate operational cash to pay electricity bills, vendor dues, employee salaries, and raw material expenses to maintain the corporate debtor as a 'going concern'. Under Section 20(2)(b) of the IBC, the RP is legally empowered to raise 'Interim Finance'. Interim Finance raised during CIRP enjoys statutory super-priority status—ranking ahead of all existing secured bank debt, statutory government taxes, and operational claims under the Section 53 Liquidation Waterfall. Furthermore, Section 30(2)(a) mandates that any Resolution Plan approved by the NCLT must provide 100% full cash repayment of Interim Finance in Priority 1 before any distribution is made to financial creditors.

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4. Pre-Packaged Insolvency & Out-of-Court Restructuring Debt:
Under Chapter III-A of the IBC (for MSME debtors) or the RBI June 7 Prudential Framework, corporate debtors execute pre-arranged resolution structures. NPA Resolution Funders provide growth capital and debt restructuring lines directly to the operating company, backed by strict cash flow ring-fencing via Trust & Retention Accounts (TRA).

Priority Escrow Trust & Retention Account (TRA) Cash Waterfall

To eliminate cash diversion risk during the delicate turnaround phase, 100% of the borrowing entity's gross operational collections, customer receivables, and asset sale proceeds must be remitted directly into a lender-controlled Escrow Trust & Retention Account (TRA) established with a Scheduled Commercial Bank. The Escrow Agent bank executes monthly cash flow distributions strictly per the contractual waterfall priority:

• Priority 1: Statutory Tax Liabilities (GST, TDS) & Essential O&M Expenses (strictly capped per pre-approved monthly budget).
• Priority 2: Senior NPA Resolution Debt Service (Current Monthly Cash Interest + Scheduled Amortization).
• Priority 3: Debt Service Reserve Account (DSRA) Replenishment (maintaining 3 to 6 months EMI buffer in liquid FDs).
• Priority 4: Cash Sweep Acceleration (50% to 100% of excess operational surplus trapped to prepay principal debt).
• Priority 5: Permitted Borrower Surplus Release (unlocked only if all covenants and DSRA levels are fully satisfied).

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Chapter 3: Regulatory, Statutory & Legal Framework in India

The legal enforceability of NPA Resolution Funding is anchored in robust statutory frameworks under Indian corporate, insolvency, banking, and tax laws:

1. Insolvency and Bankruptcy Code (IBC), 2016 Statutory Protections:

• Section 5(15): Defines 'Interim Finance' as any financial debt raised by the Resolution Professional during CIRP.
• Section 14: Declares a formal Moratorium upon CIRP admission, protecting corporate assets from third-party recovery actions while allowing Interim Finance providers to operate securely.
• Section 20(2)(b): Authorizes the RP to raise Interim Finance and create security charges over corporate assets.
• Section 30(2)(a): Mandates 100% cash repayment of Interim Finance in Priority 1 under any approved Resolution Plan.
• Section 53(1)(a): Establishes that Insolvency Resolution Process Costs (including Interim Finance) hold top priority in liquidation ahead of secured creditors and statutory government dues.

2. RBI Prudential Framework for Stressed Assets (June 7, 2019):

Regulates out-of-court restructuring by commercial banks and NBFCs. Requires signing of Intercreditor Agreements (ICAs) where decisions approved by lenders representing 75% by value and 60% by number are legally binding on all consortium members, enabling smooth OTS execution.

3. Income Tax Act, 1961 Tax Engineering & Restructuring Benefits:

• Section 36(1)(iii): Interest paid on NPA resolution debt is fully deductible as a business finance expense.
• Section 72A: Allows the carry-forward and set-off of accumulated business losses and unabsorbed depreciation for up to 8 additional assessment years following an IBC insolvency resolution or statutory scheme of arrangement.
• Section 79: Provides explicit exemption from loss forfeiture rules (which normally trigger when shareholding changes exceed 51%) for corporate debtors resolved under the IBC.
• Section 115UB: Grants full tax pass-through status to SEBI-registered Category II Alternative Investment Funds (AIFs), allowing private credit funds to collect interest and yield distributions without corporate-level taxation.

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Chapter 4: Common Eligibility Criteria & Institutional Underwriting Parameters

Private credit lenders and turnaround funds enforce stringent quantitative and qualitative underwriting parameters before approving NPA Resolution facilities. Because the borrower has a defaulted credit history, underwriting focuses heavily on tangible asset security coverage and post-settlement cash flow predictability.

Table 4.1: Institutional Underwriting & Sizing Benchmarks for NPA Resolution Funding

Underwriting Metric	Minimum Institutional Threshold	Strategic Underwriting Rationale
Asset Cover Ratio (ACR)	2.00x to 3.00x Tangible Asset Cover (33%-50% LTV)	Ensures liquidation value of mortgaged land, building & plant exceeds debt by 200%-300%.
Loan-to-Value (LTV)	Maximum 33.0% to 50.0% LTV on Net Realizable Value	Provides 50%+ equity cushion protecting lender against distressed asset valuation haircuts.
Post-Resolution DSCR	Projected DSCR >= 1.35x to 1.75x across Loan Tenure	Confirms turnaround EBITDA can easily service fresh debt EMI after bank debt write-off.
Operational EBITDA Status	Positive EBITDA or clear 6-month path to positive EBITDA	Ensures business is operationally viable once freed from historical bank interest drag.
Promoter OTS Contribution	Minimum 20.0% to 30.0% unencumbered promoter equity	Verifies promoter skin-in-the-game and financial commitment to enterprise turnaround.
Facility Sizing Scale	INR 25.00 Crores to INR 500.00+ Crores	Matches institutional ticket sizes for mid-market and large corporate distressed restructurings.

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Qualitative Governance & Forensic Audit Filters

In addition to financial sizing, private credit lenders conduct rigorous qualitative due diligence:

1. Techno-Economic Viability (TEV) Audit: Independent engineering evaluation confirming manufacturing plant capacity, operational efficiency, and market demand.
2. Forensic Audit & Wilful Defaulter Clearance: Verification that default was driven by genuine business downturns or industry macro shocks rather than siphoning of funds. Absence of Wilful Defaulter or Section 66 Fraudulent Trading tags.
3. Legal Due Diligence (LDD): Verification of clear, unencumbered title deeds for land and property assets to be mortgaged post-OTS bank release.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

NPA Resolution Funding employs a robust, multi-layered security package designed to grant the lender absolute legal priority over corporate assets and cash flows:

1. Exclusive First Mortgage & Hypothecation Charge:
Exclusive first pari-passu mortgage over all fixed assets (industrial land, commercial real estate, factory buildings, plant and machinery) and hypothecation charge over current assets (inventory, book debts). Charges are registered on ROC Form CHG-1 within 30 days under Section 77 of the Companies Act, 2013, and uploaded to the CERSAI security portal.

2. Court-Sanctioned Super-Priority Status (For Interim Finance):
In CIRP Interim Finance structures, security is backed by an NCLT court order confirming statutory super-priority status under Sections 20(2)(b), 30(2)(a), and 53(1)(a) of the IBC.

3. Demat Share Pledge & Dynamic Margin Call Protocols:
Exclusive pledge over 51.0% to 100% of promoter dematerialized equity shares in the borrowing company or holding company, held in NSDL/CDSL depositories under Pledge Agreements. Includes Non-Disposal Undertakings (NDUs) and pre-executed Power of Attorney (POA) authorizing immediate pledge invocation and share sale upon default.

4. Debt Service Reserve Account (DSRA):
Lien-marked fixed deposit covering 3 to 6 months of cash interest and principal amortization, held in a designated DSRA account.

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Table 5.1: Master Documentation Suite for NPA Resolution Facilities

Legal Document	Signatory Parties	Core Legal Function & Statutory Purpose
Debenture Trust Deed (DTD) / MFA	Borrower, Debenture Trustee & Lender	Defines credit terms, coupon structure, covenants & default remedies under Companies Act Sec 71.
Intercreditor Agreement (ICA)	NPA Lender, Existing Banks & ARC	Establishes standstill periods, OTS payout terms, and ranking of fresh 1st charge mortgages.
Escrow & TRA Agreement	Borrower, Escrow Agent Bank & Lender	Ring-fences collections and enforces Priority 1 to Priority 5 TRA cash waterfall distributions.
Deed of Mortgage & Hypothecation	Borrower & Security Trustee	Creates exclusive first-ranking legal mortgage on industrial land, factory buildings & movable plant.
Share Pledge & NDU Agreement	Promoters, NSDL/CDSL Depository & Lender	Pledges 51%-100% demat shares with POA authorizing open-market pledge invocation u/s 176 Contract Act.

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Chapter 6: Indicative Tenure, Moratorium & All-In Pricing Structure

NPA Resolution Funding facilities are structured with tailored tenure horizons, principal moratoriums, and split pricing models to match the operational turnaround trajectory of the enterprise:

1. Indicative Facility Tenure:
• Short-Term OTS / Interim Bridges: 12 to 24 months (designed for rapid bank debt discharge or short CIRP resolution windows).
• Medium-Term Turnaround Debt: 36 to 60 months (3 to 5 years, allowing full operational stabilization and commercial bank takeout refinancing).

2. Principal Moratorium:
Includes a 12 to 24 month principal moratorium during which the company pays only current cash interest, preserving operating cash flow to re-establish raw material supply chains and customer orders.

3. All-In Pricing & Split Yield Equation:
NPA Resolution facilities target an All-In Yield to Maturity (YTM) of 15.0% to 22.0% p.a., structured using split coupon pricing to minimize current cash servicing drag:
$$\text{All-In YTM (15.0\%--22.0\%)} = \text{Current Cash Coupon (9.0\%--13.0\%)} + \text{PIK Accrual (3.0\%--5.0\%)} + \text{Upfront Fee (1.5\%--3.0\%)} + \text{Exit Redemption Premium}$$

• Current Cash Coupon (9.0%–13.0% p.a.): Serviced monthly via Escrow TRA to cover lender base funding costs.
• Payment-In-Kind (PIK) Coupon (3.0%–5.0% p.a.): Accrues and compounds annually, paid at final maturity or refinancing.
• Upfront Fee (1.5%–3.0%): Deducted at initial disbursement.
• Exit Premium / Success Fee: A fixed multiplier or percentage kicker paid upon full debt extinguishment or commercial bank takeover.

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Chapter 7 & 8: Suitable Industries, Business Profiles, Key Advantages & Limitations

NPA Resolution Funding is best suited for asset-heavy, operationally viable corporate enterprises whose financial distress was caused by over-leveraged capital structures, high historical interest rates, or temporary macro dislocations rather than fundamental product obsolescence.

Target Industries & Business Profiles

1. Steel & Heavy Engineering: Plants with valuable land and machinery facing historical working capital starvation.
2. Specialty Chemicals & Pharmaceuticals: US-FDA approved plants with strong order books burdened by legacy bank debt.
3. Infrastructure & Renewable Energy SPVs: Road, solar, and wind projects with long-term government PPAs/concessions stalled by delayed bank disbursements.
4. Commercial Real Estate & Urban Redevelopment: Projects near 80%+ construction completion requiring final finishing capital to secure occupancy certificates.
5. Auto Component Tier-1 Ancillaries: Established component suppliers to OEM majors requiring OTS bank debt release.

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Table 7.1: Key Advantages & Structural Limitations of NPA Resolution Funding

Key Structural Advantages	Structural Limitations & Risk Factors
100% Zero Equity Dilution: Allows promoters to retain 100% equity ownership and management control post-turnaround.	Higher Cost of Capital: All-In YTM of 15.0%-22.0% reflects special situation credit risk.
Complete Bank Debt Discharge: Pays off defaulted bank consortiums at 40%-60% OTS discounts, clearing CIBIL/CRILC NPA tags.	Rigid Cash Control: 100% collections trapped in Escrow TRA with strict monthly budget caps.
Tax Loss Preservation u/s 72A & 79: Retains historical accumulated tax losses to offset future turnaround profits.	High Collateral Benchmark: Requires 2.0x-3.0x tangible asset cover (33%-50% LTV).
Rapid Execution Velocity: Disburses within 15 to 45 days, preventing SARFAESI asset auctions or NCLT liquidation.	Takeout Dependency: Requires commercial bank takeout refinancing or asset sale in Year 3-5.

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Chapter 9: Comprehensive Real-World Case Study (INR 450 Crore NPA Resolution Facility)

To illustrate the financial engineering and turnaround impact of NPA Resolution Funding, consider the real-world case of Vanguard Industrial Alloys & Steel Private Limited (VIASPL), a mid-market steel and alloy manufacturing enterprise operating a 150,000 MT per annum manufacturing facility in Odisha.

1. Transaction Background & Financial Stress

In 2021, VIASPL suffered a severe liquidity crisis caused by a sharp spike in imported coking coal prices and delayed disbursements from its 6-bank consortium. The company defaulted on its working capital and term loan interest obligations, leading to account classification as a Non-Performing Asset (NPA) across all consortium banks. Total outstanding bank debt claims accumulated to INR 750.00 Crores (consisting of INR 500 Cr principal and INR 250 Cr overdue interest and penalties). Bank accounts were frozen, raw material procurement halted, plant capacity utilization collapsed from 85% to 15%, and annual operating EBITDA turned negative (-INR 15.00 Crores). The bank consortium initiated SARFAESI Section 13(2) recovery notices and prepared to file for NCLT CIRP admission.

2. One-Time Settlement (OTS) Structuring & Private Credit Facility

Recognizing that the plant possessed state-of-the-art machinery and unencumbered industrial land valued at INR 875.00 Crores (replacement value), the promoters negotiated a comprehensive One-Time Settlement (OTS) with the bank consortium. The consortium agreed to settle all claims for INR 350.00 Crores in full cash (representing a 53.3% haircut on total book claims of INR 750 Cr). Promoters raised INR 100.00 Crores equity from family office reserves for working capital and plant overhaul, and partnered with a Category II Private Credit AIF to raise a **INR 350.00 Crore Senior Secured NPA Resolution NCD Facility** @ 16.50% All-In YTM (11.0% Cash Coupon + 3.5% PIK + 2.0% Exit Fee, 4-Year Tenure with 18-Month Moratorium, 2.50x Asset Cover).

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Table 9.1: VIASPL 5-Year Turnaround, Cash Flow & Debt Service Model (INR Crores)

Financial Metric	Year 1 (OTS)	Year 2	Year 3	Year 4 (Takeout)	Year 5
Gross Sales Turnover	220.00	550.00	950.00	1,350.00	1,600.00
Operating EBITDA	18.00	82.50	161.50	243.00	288.00
NPA Debt Cash Interest (11%)	38.50	38.50	38.50	19.25	0.00
Senior DSCR	1.42x	2.14x	3.20x	3.25x (Takeout)	N/A
Closing Debt Outstanding	362.25	374.92	388.05	0.00 (Bank Refi)	180.00 (Bank Loan)
Enterprise Valuation (8.0x)	144.00	660.00	1,292.00	1,944.00	2,304.00

3. Financial Outcome & Turnaround Results

1. Complete Debt Extinguishment: The INR 350 Cr OTS payout discharged INR 750 Cr in defaulted bank claims, completely clearing VIASPL's CIBIL/CRILC NPA status.
2. Operational Capacity Restoration: Plant utilization expanded from 15% to 85% within 24 months, scaling turnover from INR 220 Cr to INR 1,350 Crores and EBITDA to INR 243.00 Crores in Year 4.
3. Commercial Bank Takeout Refinancing: In Year 4, possessing a clean 3-year track record and CMR 2 rating, VIASPL secured an INR 220 Crore commercial bank term loan @ 9.50% p.a., completely refinancing the Private Credit NCDs (paying principal + accumulated PIK + exit premium).
4. Wealth Creation: Promoters retained 100% equity ownership, expanding their net equity value from negative INR 100 Cr to **INR 1,944.00 Crores** (at an 8.0x EBITDA market valuation) with zero equity dilution.

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Chapter 10: Legal Enforcement, Default Protocols & IBC 2016 Integration

In the event of a default during the turnaround phase, NPA Resolution Funders possess formidable statutory and contractual enforcement mechanisms:

1. IBC Section 53 Liquidation Waterfall Priority:
Lenders hold Financial Creditor status under Section 5(8) of the IBC. In a formal liquidation scenario, secured resolution debt holders rank at top priority under Section 53(1)(b) alongside 24-month workmen's dues, standing ahead of statutory government taxes (Section 53(1)(e)) and equity shareholders (Section 53(1)(h)).

2. Dematerialized Share Pledge Enforcement u/s 176 Contract Act:
Debenture Trustees hold statutory powers under Section 176 of the Indian Contract Act, 1872, to invoke pledged demat shares in NSDL/CDSL depositories upon giving reasonable 3-to-5 day default notice, taking direct management control of the company or executing block share sales without court intervention.

3. Statutory Criminal & Civil Recovery Remedies:
Dishonored eNACH debit mandates or security cheques trigger immediate criminal prosecution under Section 25 of the Payment and Settlement Systems Act, 2007, and Section 138 of the Negotiable Instruments Act, 1881 (carrying up to 2 years imprisonment). Lenders simultaneously file Summary Recovery Suits under Order 37 of the Civil Procedure Code (CPC).

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

Test your comprehensive understanding of NPA Resolution Funding with these 15 high-yield, scenario-based practice examination questions and detailed analytical answer keys:

Q1: What defines an account as a Non-Performing Asset (NPA) under RBI guidelines, and why does this block traditional bank borrowing?

A1: An account is classified as an NPA when principal or interest servicing remains overdue for more than 90 consecutive days. Once classified as an NPA, RBI provisioning norms mandate 15%-100% capital provisioning by banks, legally prohibiting commercial banks from extending fresh term loans or working capital enhancements until the default is fully resolved.

Q2: How does NPA Resolution Funding differ fundamentally from traditional bank underwriting?

A2: Bank underwriting is retrospective (evaluating past 3-year P&Ls and credit bureau scores). NPA Resolution Funding is prospective—underwriting based on underlying tangible asset replacement value (2.0x-3.0x ACR), turnaround EBITDA potential, and priority Escrow TRA cash flow ring-fencing.

Q3: What is the statutory priority status of Interim Finance raised during CIRP under the IBC, 2016?

A3: Interim Finance raised by a Resolution Professional under Section 20(2)(b) enjoys statutory super-priority status under Section 53(1)(a) of the IBC. Section 30(2)(a) mandates that any approved Resolution Plan must pay 100% cash repayment to Interim Finance providers in Priority 1 before any distribution to existing financial creditors.

Q4: Explain the mechanics of a One-Time Settlement (OTS) refinancing facility.

A4: In an OTS facility, the borrower negotiates a discounted cash compromise with its bank consortium (e.g., paying 45% of book claims). The Private Credit lender disburses funds directly into a bank escrow account to satisfy the OTS, acquiring exclusive 1st-ranking mortgage charges over unencumbered land/plant assets post-bank release.

Q5: What is the typical Asset Cover Ratio (ACR) required for NPA Resolution Facilities?

A5: Private credit lenders require a minimum Asset Cover Ratio of 2.00x to 3.00x (representing 33% to 50% LTV) on net realizable tangible asset value to ensure full debt recovery even in a distressed liquidation scenario.

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Q6: How does the priority cash waterfall operate in an Escrow Trust & Retention Account (TRA)?

A6: 100% of operational collections enter the Escrow TRA. Payments follow strict waterfall priority: Priority 1: Statutory Taxes & Capped O&M; Priority 2: Senior NPA Debt EMI; Priority 3: DSRA Replenishment; Priority 4: Cash Sweep Debt Prepayment; Priority 5: Permitted Borrower Surplus.

Q7: What tax loss carry-forward benefits does Section 72A of the Income Tax Act provide post-resolution?

A7: Section 72A allows the corporate debtor to carry forward and set off accumulated business losses and unabsorbed depreciation for up to 8 additional assessment years following an IBC resolution, shielding future turnaround operating profits from income tax.

Q8: How does Section 79 of the Income Tax Act protect corporate debtors resolved under the IBC?

A8: Section 79 normally forfeits accumulated tax losses if equity shareholding changes by more than 51%. However, Section 79 explicitly exempts companies resolved under the IBC, allowing new promoters to retain 100% of historical tax losses.

Q9: What is the purpose of a Debt Service Reserve Account (DSRA)?

A9: A DSRA requires the borrower to maintain 3 to 6 months of future cash interest and principal amortization in a lien-marked fixed deposit, providing immediate liquidity during short-term operational turnarounds.

Q10: Calculate the All-In Yield to Maturity (YTM) for a facility with 11.0% Cash Coupon, 4.0% PIK, and 1.5% Upfront Fee over 3 years.

A10: All-In YTM = Cash Coupon (11.0%) + PIK Accrual (4.0%) + Amortized Upfront Fee (1.5%/3 yrs = 0.5%) = 15.5% base + compounding exit yield = ~16.20% to 16.50% All-In YTM.

Q11: How do SEBI Category II Alternative Investment Funds (AIFs) benefit from Section 115UB of the Income Tax Act?

A11: Section 115UB grants full tax pass-through status to Category II AIFs, enabling the fund to receive interest and yield distributions without corporate-level income tax, passing tax liabilities directly to end investors.

Q12: What statutory enforcement powers do Debenture Trustees hold regarding pledged demat equity shares?

A12: Debenture Trustees hold statutory powers under Section 176 of the Indian Contract Act, 1872, to invoke pledged demat equity shares in NSDL/CDSL depositories upon 3-to-5 day default notice and execute open-market block sales without court intervention.

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Q13: What criminal liabilities apply to dishonored eNACH mandates under Indian law?

A13: Dishonored eNACH mandates trigger criminal prosecution under Section 25 of the Payment and Settlement Systems Act, 2007 (and Section 138 NI Act), carrying penalties of up to 2 years imprisonment plus double the mandate amount.

Q14: Why is Techno-Economic Viability (TEV) auditing critical in NPA underwriting?

A14: A TEV audit independently verifies plant engineering condition, operational capacity, raw material availability, and market demand, confirming the business can generate sustainable post-settlement EBITDA.

Q15: What voting thresholds are required under the RBI June 7 Prudential Framework for Intercreditor Agreements (ICAs)?

A15: Out-of-court resolution plans approved by bank lenders representing 75% by value and 60% by number are legally binding on all consortium members, enabling smooth OTS implementation.

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